

Pidilite Industries Ltd

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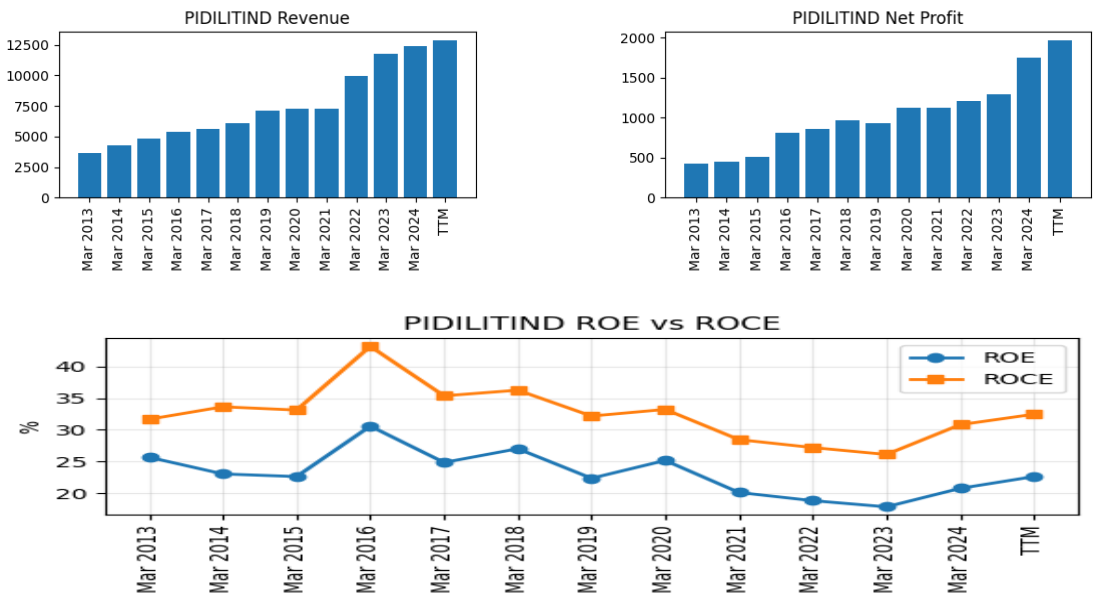
Key Financial Metrics

ROE 22.64%	ROCE 32.46%	Debt / Equity 0.04
Revenue CAGR 11.67%	FCF Conversion 155.92%	Quality Score 49.50

Company Profile

Company	Pidilite Industries Ltd
Sector	Materials
Industry	Specialty Chemicals
Market Cap (■ Cr)	162,274.18
P/E Ratio	36.12
P/B Ratio	12.30
Dividend Yield	1.01%

Financial Performance



AI Investment Summary

Pidilite Industries Ltd currently faces multiple financial challenges that increase investment risk. It currently has healthy profitability, strong capital efficiency, steady revenue growth, high quality cash-flow quality and conservative leverage. The overall financial quality score is 49.5/100. Key strengths include: Return on equity improving for three consecutive years reflects strengthening business quality and capital efficiency.; Profits are compounding faster than revenue, indicating improving operating leverage and scalability.; Very high interest coverage ratio reflects negligible financial stress from debt servicing.. Key risks include: No major financial weakness was identified by the rule engine, although ongoing monitoring remains important.. Investment recommendation: Reduce. Overall, the company appears to be financially weak with elevated investment risk.

Pros & Cons

Pros	Cons
• Return on equity improving for three consecutive years reflects strengthening business quality and capital efficiency. • Profits are compounding faster than revenue, indicating improving operating leverage and scalability. • Very high interest coverage ratio reflects negligible financial stress from debt servicing.	• No major financial weakness was identified by the rule engine, although ongoing monitoring remains important.

Investment Recommendation

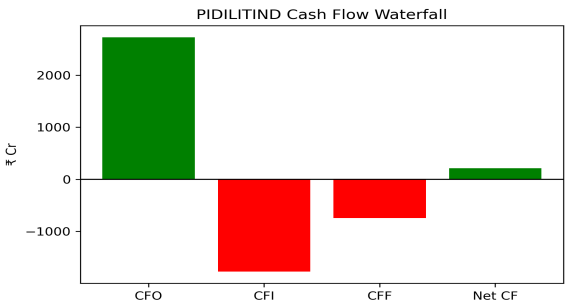
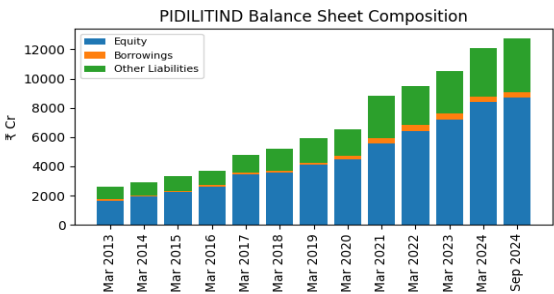
Recommendation	REDUCE
Risk Level	HIGH
Confidence	LOW

Recommendation Reason:

The recommendation is based on an adjusted financial score of 49.5/100, supported by 3 identified strengths, 1 identified risks, and cash-flow quality rated as High Quality.

Adjusted Score: 49.5

Balance Sheet & Cash Flow



Financial Health

Profitability	Strong
Growth	Strong

Cash Flow	Strong
Leverage	Strong
Valuation	Fair

Capital Allocation

Shareholder Returns